

The bigger the value premium, the better a given price-to-value ratio identifies undervalued and overvalued stocks. It's a more robust test than simply measuring the performance of the undervalued stock. Again, both enterprise multiples stand out. The EBIT variation of the enterprise multiple generated the largest average value premium at 7.5 percent annually, while the EBITDA variation earned 6.2 percent. Among the other historical price-to-value ratios, the enterprise value-to-free cash flow ratio generated the smallest spread, indicating that it did the worst job sorting undervalued and overvalued stocks.

The EBIT and EBITDA enterprise multiples still outperform after adjusting for volatility. Both had slightly higher volatility relative to the market, but this was predominantly upside volatility. This led both variations of the enterprise multiple to have the best volatility-adjusted returns. Empirically, the enterprise multiple—and Greenblatt's EBIT variation in particular—does the best job of identifying undervalued stocks.

Why is the enterprise multiple so good at identifying undervalued stocks? First, the denominator in the enterprise multiple—the enterprise value—provides a more full picture of the price paid than does the market capitalization. The enterprise value is closer to a stock's true cost because, in addition to market capitalization, it includes other information about the contents of the company's balance sheet, including its debt, cash, and preferred stock (and in some variations minority interests and net payables-to-receivables). Such things are significant to acquirers of the business in its entirety, which, after all, is the way that value investors think about each stock. The enterprise value can be viewed as a theoretical takeover price of a company. After a takeover, the acquirer assumes the company's liabilities, including its debt, but gains use of the company's cash and cash equivalents. Including debt is important here. Market capitalization alone can be misleading. Loughran and Wellman, citing Damodaran, give the example of General Motors, which in 2005 had a market cap of \$17 billion, but debt of \$287 billion. Market capitalization greatly understated the true cost of General Motors, but the enterprise value captured General Motors' huge debt load, and so gave a more full accounting of its impact on General Motors' returns. (The risk of a large debt burden moved from the theoretical to the real when General Motors filed for bankruptcy protection in June 2009.) Often a stock that appears superficially undervalued on a book value basis is recognized as being fully valued, or overvalued once its debt load is factored into the calculation. Other researchers confirm that enterprise value is superior to market capitalization, and especially so when companies carry dissimilar debt loads.²² It is the ease with which enterprise value makes a comparison of companies with differing capital structures that makes it so effective.